

Paradiem

The Morning Brief

JUNE 16, 2026

Chips Vertical

Monday's chip-led rally lifted the Dow to fresh highs as the U.S.-Iran agreement was reportedly signed virtually; FOMC begins Tuesday.

S&P 500	NASDAQ	BRENT (BNO)	FOMC DAY 1	FEAR & GREED
\$754.83 · ↑1.76%	\$744.00 · ↑3.14%	\$46.05 · ↓3.70%	Tue Jun 16 · ~97% hold per CME	Fear (CNN live, Jun 16 read; drop fell back to Crypto)

SECTION 01

Markets — Chip-Led Risk-On

MONDAY DELIVERED A MATERIALLY CHIP-LED RALLY PER THE DATA DROP — THE S&P 500 PROXY CLOSED AT \$754.83 (↑1.76%), THE NASDAQ PROXY AT \$744.00 (↑3.14%), AND THE DOW PROXY AT \$518.44 (↑1.05%) REPORTEDLY THE DOW'S FRESH HIGH PER CHARTMILL AND YAHOO COVERAGE — TECH (XLK ↑3.78%) LED THE SECTOR TAPE WHILE ENERGY (XLE ↓3.48%) CARRIED THE FUNDING LEG, AND UVXY (VIX PROXY) COMPRESSED ↓10.30% TO \$25.77 IN A CONTINUATION OF THE VOLATILITY DRAIN THAT BEGAN ON FRIDAY'S SESSION

The semiconductor cohort traded vertically into the Iran-deal tape and the QCOM/Tenstorrent acquisition headline: MRVL ↑10.43% to \$308.88, AMD ↑6.98% to \$547.26, LRCX ↑6.03% to \$388.92, QCOM ↑4.29% to \$220.81, TSM ↑4.12% to \$441.40, NXPI ↑3.61% to \$315.88, and NVDA ↑3.54% to \$212.45 per the data drop, with COIN ↑6.16% and HOOD ↑5.29% layering the digital-rails complex on the cross-asset risk-on. The funding leg was the energy sleeve: VLO ↓4.45%, DVN ↓3.93%, CVX ↓3.64%, OKE ↓3.47%, alongside STLD ↓3.74% in the materials complex, as WTI (USO) ↓3.36% to \$121.21 and Brent (BNO) ↓3.70% to \$46.05 extended Friday's deal-anticipation drawdown. Notably, Gold (GLD ↑2.59% to \$396.55) and Silver (SLV ↑3.56% to \$63.47) rose alongside the equity tape, suggesting the rally did not fully consume the safe-haven bid — consistent with positioning that retains macro hedges into the Warsh FOMC and the post-signing geopolitical execution window.

TOP MON MOVERS **MRVL** ↑10.43% · **AMD** ↑6.98% · **LRCX** ↑6.03%

DIGITAL
RAILS **COIN** ↑6.16% · **HOOD** ↑5.29% · **ETHA** ↑9.47% · **IBIT** ↑4.72%

ENERGY
DRAG **VLO** ↓4.45% · **DVN** ↓3.93% · **CVX** ↓3.64% · **OKE** ↓3.47%

TECH XLK ↑3.78% · **sector leader**

ENERGY XLE ↓3.48% · **sector laggard**

UVXY (VOL PROXY) **\$25.77** · ↓10.30% · **vol drain continued**

GOLD / SILVER **GLD** ↑2.59% · **SLV** ↑3.56% · **hedges held**

WTI / BRENT **USO** \$121.21 ↓3.36% · **BNO** \$46.05 ↓3.70%

FOMC DAY 1 BEGINS TUESDAY WITH THE RATE DECISION AND DOT PLOT LANDING WEDNESDAY AFTERNOON — KEVIN WARSH'S FIRST PRESS CONFERENCE AS CHAIR PER FXSTREET AND COINGAPE PREVIEW COVERAGE — THE CME FEDWATCH-IMPLIED PROBABILITY OF A HOLD SITS AT APPROXIMATELY 97.4% PER MITRADE AND COINGAPE, FRAMING THE MEETING AROUND THE SUMMARY OF ECONOMIC PROJECTIONS, THE BIAS-LANGUAGE SHIFT, AND WARSH'S COMMUNICATION STYLE RATHER THAN THE RATE DECISION ITSELF; PER TRADINGKEY AND SEEKING ALPHA PREVIEW COVERAGE, THE JUNE MEETING MAY REMOVE THE

PREVIOUSLY EASED BIAS IN FAVOR OF A NEUTRAL OR HAWKISH FRAMING

The May Housing Starts and Building Permits report from the U.S. Census Bureau lands Tuesday morning per the Census release calendar, layering onto the FOMC Day 1 tape; May Retail Sales prints Wednesday alongside the rate decision and the fresh dot plot. The binding signal per Coingape and Mitrade sits in whether the SEP pushes the first 2026 cut into 2027 or keeps a September window open, and whether Warsh's press conference confirms the move from the prior eased framing toward neutral. Per Tradingkey, Warsh has historically criticized forward guidance, suggesting the Q&A tone may differ materially from the Powell template. Cross-asset reference points: TLT at \$85.72 (↓0.06% Monday), the digital sleeve at IBIT \$37.74 (↑4.72%) and ETHA \$13.76 (↑9.47%), and the AI-infrastructure growth backbone (NVDA, AMD, MRVL, CRDO, NXPI, FTNT). Friday June 19 is the Juneteenth holiday with U.S. markets closed per the standard exchange calendar, compressing the post-FOMC trading window to Thursday alone.

Monday delivered the chip-led resolution of the deal-anticipation tape, but the Warsh FOMC, the Hormuz physical-reopen timeline, and the Israel-Lebanon track introduce three independent event-risk channels into a holiday-compressed week. Avoid Erosion.

Geopolitics — Deal Reportedly Signed, Hormuz Reopen Lags

PRESIDENT TRUMP AND VICE PRESIDENT JD VANCE REPORTEDLY SIGNED THE U.S.-IRAN AGREEMENT VIRTUALLY ON MONDAY, JUNE 15 PER CNN LIVE COVERAGE AND NPR REPORTING, WITH IRANIAN PARLIAMENT SPEAKER MOHAMMAD BAQER QALIBAF REPORTEDLY SIGNING FOR IRAN — THE MEMORANDUM OF UNDERSTANDING REPORTEDLY CONTAINS 14 POINTS INCLUDING AN END TO THE WAR (INCLUDING IN LEBANON), THE WITHDRAWAL OF U.S. FORCES, AND A 60-DAY WINDOW FOR NUCLEAR NEGOTIATIONS PER NBC AND NPR COVERAGE — THE VIRTUAL SIGNING REPORTEDLY PRECEDES THE PREVIOUSLY REPORTED IN-PERSON CEREMONY SCHEDULED FOR FRIDAY, JUNE 19 IN GENEVA PER THE PRIOR COVERAGE CYCLE; THE REOPENING OF THE STRAIT OF HORMUZ WAS AUTHORIZED IN THE AGREEMENT

Per Reuters and Financial Times reporting cited via the data drop headline run, the largest tanker operator indicated that the physical Hormuz transit will take “weeks” to resume rather than days, citing the residual risk of mines, drones, and missile attacks alongside crew-rotation logistics. Per Reuters secondary coverage, US-Iran deal implementation may not bring quick relief for auto shops and consumer-facing goods given the supply-chain lag. For FCI’s energy sleeve (DVN, CVX, OKE, VLO, CNX), Monday’s drawdown (DVN ↓3.93%, CVX ↓3.64%, OKE ↓3.47%, VLO ↓4.45%) priced in a faster Brent compression than the physical-supply reopening timeline appears to support; the position-symmetric framework Carson has anchored across recent briefs operates through the holdings’ cash-flow durability (DVN’s 70% shareholder-return framework, CVX’s dividend complex, OKE’s midstream stability, VLO’s refining-margin tape) under a lower-volatility Brent regime. **The physical world matters.**

THE G7 LEADERS’ SUMMIT AT ÉVIAN-LES-BAINS, FRANCE CONTINUES THROUGH WEDNESDAY PER THE EUROPEAN COUNCIL AGENDA AND REUTERS COVERAGE — PER REUTERS, EUROPEAN LEADERS ARE REPORTEDLY SET TO PRESS PRESIDENT TRUMP ON THE IRAN DEAL IMPLEMENTATION DETAILS AND TO URGE A REFRAMING ON UKRAINE, WITH PRESIDENT ZELENSKYJ JOINING A TUESDAY WORKING SESSION PER THE ÉLYSÉE DIARY — THE SUMMIT AGENDA OVERLAP WITH THE FOMC MEETING CREATES SECONDARY HEADLINE RISK ACROSS TUESDAY AND WEDNESDAY’S SESSIONS

Per Reuters and IndexBox coverage, the G7 discussions are reportedly expected to cover the U.S. tariff complex alongside the Iran framework, with European leaders carrying complaints about U.S.-EU tariffs and Trump’s NATO posture. Per CFR coverage, Tuesday’s Zelenskyy-joined session is titled around peace and security for Ukraine and Europe. The Israel-Lebanon track remains the principal known fragility heading into the framework’s execution window: per the prior brief’s Inquirer and CNBC coverage, Prime Minister Netanyahu reportedly does not consider Israel bound to the Lebanon-related portions of the agreement, and Sunday’s strikes on Beirut targets remain a discrete risk vector that

could re-introduce geopolitical premium into the Brent complex during the Hormuz physical-reopen window. For the defense sleeve (LMT, GD), the long-cycle backlog framework holds independent of the framework’s execution, per the prior brief’s LMT Pentagon-awards coverage and Monday’s GM-Lockheed weapons-parts partnership reporting per WSJ.

The physical world matters.

SIGNING (MON)	Trump & Vance virtually · Qalibaf for Iran per CNN/NPR
MOU TERMS	14 points · war end (incl. Lebanon) · 60-day nuke talks per NBC
HORMUZ PHYSICAL REOPEN	“Weeks” per largest tanker operator via FT
RESIDUAL RISK	Mines · drones · missiles · crew rotation per FT
G7 SUMMIT	Évian, France · runs through Wed · Zelenskyy joins Tue
ISRAEL-LEBANON	Netanyahu reportedly not bound to Lebanon track
WTI / BRENT (MON)	USO \$121.21 ↓3.36% · BNO \$46.05 ↓3.70%

On Our Radar

1. Warsh's FOMC debut concludes Wednesday with the rate decision, the fresh dot plot, and the first press conference; May Housing Starts and Building Permits land Tuesday morning per the U.S. Census Bureau release calendar, with May Retail Sales printing Wednesday alongside the decision. Per Coingape, Mittrade, FXStreet, and Seeking Alpha preview coverage, CME FedWatch implies an approximately 97.4% probability of a hold at the 3.50–3.75% target range; per Tradingkey, Warsh has historically criticized forward guidance, suggesting the press-conference tone may shift materially from the Powell template. The binding signals sit in whether the Summary of Economic Projections pushes the first 2026 cut into 2027 or keeps a September window open, and whether the bias language moves from previously eased toward neutral or modestly hawkish. For FCI's rate-sensitive sleeves (TLT, IBIT, ETHA, the AI-infrastructure growth backbone), this is the principal cross-asset variable into Thursday's session; Friday is the Juneteenth holiday with U.S. equity and bond markets closed per the standard exchange calendar. *Avoid Erosion.*

2. Qualcomm is reportedly in talks to acquire AI chip-design startup Tenstorrent in a deal that could range between approximately \$8 billion and \$10 billion per The Information via Reuters, Tech Startups, and Stocktwits coverage — the headline contributed to QCOM ↑4.29% to \$220.81 on Monday alongside the broader chip-cohort lift. Per the underlying reporting, Tenstorrent was founded by Jim Keller (formerly Apple and Tesla Autopilot) and has positioned its architecture as more energy-efficient than legacy GPU approaches for certain AI workloads. The talks reportedly follow Qualcomm's prior acquisition of Alphawave Semi for approximately \$2.4 billion last year per Barchart coverage, and they layer onto the QCOM Investor Day scheduled for June 24 per the prior brief. Per the data drop's holdings news section, the Tenstorrent talks reportedly test QCOM's valuation discipline and its expansion beyond smartphone chips into AI infrastructure. For FCI's AI-infrastructure exposure, QCOM's data-center pivot remains a structural variable worth tracking through the Investor Day. *Research Reveals Opportunities.*

3. General Motors is reportedly in talks with Lockheed Martin to manufacture components for the defense contractor's weapons systems per The Wall Street Journal via Reuters and Stocktwits coverage — the partnership would reportedly leverage GM's manufacturing capacity to help LMT scale munitions output as U.S. stockpiles have reportedly drawn down through the Ukraine and Iran conflicts. Per the WSJ reporting, the specific components remain under discussion and no terms have been finalized; the talks reportedly align with the Trump administration's Pentagon push to bring non-traditional manufacturers into the defense supply chain. LMT closed Monday at \$530.36 (↓1.85%) per the data drop, holding within the cohort's typical daily band despite the partnership headline. The structural read for FCI's defense holdings (LMT, GD) remains the long-cycle backlog framework; per the prior brief's LMT \$10B Pentagon-awards coverage and Monday's GM partnership reporting, the production-scale variable continues to anchor the cohort independent of near-term tape volatility. *Think Like an Owner.*

4. The energy sleeve's Monday drawdown materially outpaced the Brent move on the data drop — VLO ↓4.45% to \$247.16, DVN ↓3.93% to \$43.53, CVX ↓3.64% to \$180.40, OKE ↓3.47% to \$87.45 — as the cohort priced in a faster Brent compression than the FT-reported "weeks" physical-reopen timeline for the Strait of Hormuz appears to support. Per Reuters and Investing.com via the data drop, USO ↓3.36% to \$121.21 and BNO ↓3.70% to \$46.05 extended Friday's deal-anticipation drawdown. The position-symmetric framework Carson has anchored across recent briefs operates through cash-flow durability: DVN's 70% shareholder-return framework, CVX's dividend complex, OKE's midstream stability, and VLO's refining-margin tape under a Brent lower-volatility regime. Per the Israel-Lebanon track headline risk (Netanyahu reportedly not bound to the Lebanon provisions per the prior brief), the complex retains a two-sided event-risk profile through the framework's execution window. *Think Like an Owner.*

5. The digital-rails complex lifted materially Monday with COIN ↑6.16% to \$169.62, HOOD ↑5.29% to \$98.12, IBIT ↑4.72% to \$37.74, and ETHA ↑9.47% to \$13.76 per the data drop — the cross-asset risk-on tape layered onto Friday's Citi AMD upgrade and the broader semiconductor cohort rally. The crypto-equity beta resumed alongside the equity tape, while gold and silver also gained materially (GLD ↑2.59%, SLV ↑3.56%), suggesting the rally has not yet displaced safe-haven positioning. The Warsh FOMC and the dot plot remain the principal cross-asset variables for the digital sleeve through Wednesday, with the rate-path framing and any communication

signal on the regulatory complex carrying material weight for IBIT, ETHA, COIN, and HOOD. *Simplicity Over Complexity.*

6. Carson's active SPY \$645.80 support remains materially untouched. Monday's S&P 500 proxy range (\$751.76–\$756.68 per the data drop) carried well above Carson's framework, leaving the level as the committee's downside reference rather than an actionable near-term marker. The CNN Fear & Greed gauge sits in the "Fear" range per the live CNN endpoint as of the June 16 read (the data drop's F&G fell back to the crypto index at 23 "Extreme Fear" per the workflow note), continuing to frame the rally as occurring against still-cautious sentiment positioning rather than euphoric flow. The position-symmetric framework remains anchored on Carson's level through the FOMC, the post-signing geopolitical execution window, and the G7 agenda overlap. *Simplicity Over Complexity.*